The initial economic policy change in Myanmar was to abolish the socialist policies of the past 26 years. The regime pinned its hope on foreign investment—reemerging as the isolationist xenophobic Ne Win was no longer in control of the government. The problem for Myanmar was that as promises of democracy and an open political system faded, so did Western assistance. By 1990, SLORC was in dire straits economically. External debt neared the 5 billion dollar mark by the postelection period. Japan had provided the lion's share of relief to the junta. Future assistance was contingent on fulfilling promises made to promote democracy and human rights that SLORC adamantly opposed.

The regime promised liberalization of trade, resumption of a market economy, and generous tax relief and exemptions to foreign companies. Exemptions covered numerous sectors, including manufacturing, tourism, and agriculture. The government passed the “Union of Burma Foreign Investment Law,” which guaranteed that past mistakes such as currency devaluation and nationalization of industries would not take place. The rationale behind the law was to help Myanmar reach the goal of easing the peoples' needs for food, clothing, and shelter.

A huge economic bureaucracy developed to help facilitate the new policies. The regime established a massive holding company, Union of Myanmar Economic Holdings, which was mostly owned by the Ministry of Defense and high-ranking officers. A foreign investment commission was established to help with insurance, currency matters, and regulation of the economy. The first countries to invest heavily in Myanmar were some of the neighboring states such as Japan, South Korea, and Taiwan. The appeal of cheap labor and what seemed to be a cooperative regime helped in the initial boost.

The majority of citizens in Myanmar were not benefitting from the economic changes. The currency devaluation issue was still a serious concern, as was high levels of inflation and the always-present black market. Printing more currency covered deficits. An underlying theme of the junta's economic policy was to ensure the military was taken care of at the expense of the population. Self-preservation was the main priority. Revenue was necessary to purchase military hardware, and new technology provided generous pay hikes to ensure troop loyalty following the upheavals of 1988–1990.